# FRONTIER TRUST

INVESTMENT COMMITTEE WORKING MEMORANDUM | AI TRUST INFRASTRUCTURE

| Research cutoff | 2 November 2026 |
|---|---|
| Illustrative allocation | $100M direct primary common-equity investment |
| Candidate businesses | Vanta and Chainguard, compared as alternative investments, not product substitutes |
| Recommendation | PASS at hypothetical entry prices. PRIORITIZE Vanta for conditional diligence and reprice. |
| Analyst screening hurdle | 20.0% gross IRR, five-year hold; illustrative, not a TVG policy |

## 1. Executive investment decision

**Decision:** Neither opportunity clears an illustrative 20% five-year gross return target at modeled entry prices of $5.0B pre-money for Vanta and $4.0B for Chainguard. Base-case primary-equity IRRs are 8.1% and 5.2%, respectively. The reverse underwriting yields maximum pre-money values of $2.92B and $2.02B, assuming a $100M primary check, specified dilution and the selected terminal values. These are discipline thresholds from a model, not estimates of current fair market value.

Vanta ranks higher for further diligence because the 2026 ARR anchor was directly disclosed by management, the business has meaningful scale, and the operating model has a modeled path to positive FCF. Chainguard merits focused technical work, but its 2026 revenue anchor is estimated externally and the base financial case remains FCF negative. A compelling product story does not substitute for a high-quality capital structure and evidence of monetization. [S02, S08, S09, S10]

### What this memorandum does and does not decide

- It **does** compare investment return sensitivity, business-model quality, capital intensity, competitive threats and evidence gaps under explicitly stated assumptions.
- It **does not** imply either company is raising capital, that a buyer can transact at the modeled pre-money value, or that current preferred rights and actual financial statements are known.
- It **does not** use an inferred TVG discount rate. Ontario Teachers' return objective and the analyst screening hurdle are deliberately distinct.

### Primary financial comparison

| Metric | Vanta | Chainguard |
|---|---|---|
| 2026 ARR source | $300M+ company | $100M external estimate |
| 2026 to 2031 modeled ARR | $300M to $1,106M | $100M to $755M |
| 2031 exit EV / ARR | 8.0x | 9.0x |
| 2031 exit equity value | $8.85B | $6.60B |
| Gross primary IRR | 8.1% | 5.2% |
| 20% hurdle entry ceiling | $2.92B | $2.02B |

# 2. Why the topic fits a global growth investor

## Investment mandate

Teachers' Venture Growth publicly describes a direct late-stage, Series B onward strategy across North America, Europe and Asia, with initial commitments typically in the $50M to $250M range. It emphasizes active partnerships and flexibility of holding period. The case intentionally combines a $100M check, multi-year operating underwriting, valuation diligence, and a structured decision gate. [S01]

## Investment hypothesis

As enterprise software becomes more automated, complex and exposed to AI-related risk, organizations require evidence that software and suppliers are safe and compliant. Two very different implementation layers are investable in theory: (i) enterprise compliance and trust orchestration, represented by Vanta; and (ii) secure-by-default developer infrastructure, represented by Chainguard. These are **capital allocation alternatives**, not direct product-market rivals.

### What needs to be true

- Enterprise demand is recurring and embedded in operating workflows, rather than driven by one-off certificate acquisition or one-time vulnerability cleanup.
- Buyers assign measurable value to continuous controls, verified provenance, faster security reviews or reduced engineering time.
- Incumbents and low-cost competitors fail to eliminate the willingness to pay for the complete enterprise product, workflow and service.
- Management can convert retention, cross-sell and revenue growth into free cash flow without chronic external funding.
- The entry price leaves enough return even if exit multiples normalize below aggressive late-stage growth market conditions.

## Market mapping and geographic breadth

The accompanying workbook screens 16 public company names across trust and GRC automation (Vanta, Drata, Secureframe, Sprinto, Scrut, Hyperproof, Anecdotes), developer and artifact security (Chainguard, Snyk, Semgrep, Cloudsmith, Aikido, Sysdig), and adjacent incumbents (OneTrust, AuditBoard, Cyera). This is an initial research universe, **not** 16 verified late-stage investment opportunities. Investability, jurisdiction and stage require separate validation.

## Portfolio adjacency hypothesis

Chainguard published a Canva customer case on deployment of containers and libraries. Canva appears in TVG's public portfolio, creating a possible due diligence reference hypothesis, not a privileged source or a claim of endorsement. Any reference call would require appropriate permissions and independent validation. [S10, S01]

## Why timing does not automatically imply price acceptance

Vanta's disclosed $300M ARR and Chainguard's estimated $100M ARR are from 2026. Their last equity valuations come from 2025 financings. Dividing a 2025 post-money valuation by a 2026 run-rate can illustrate scale, but it is **not the multiple paid in 2025** or an executable November 2026 quote. The model therefore has distinct sourced historical inputs and yellow-cell illustrative entry assumptions.

# 3. Vanta | Commercial diligence

## What is publicly established

Vanta disclosed surpassing $300M in ARR in April 2026, reaching the milestone nine months after $200M, and reported serving 16,000 customers. Its July 2025 Series D raised $150M at $4.15B valuation. Its announced offering has broadened from compliance automation to ongoing trust management, GRC, risk and verification workflows. The company was included as a Leader in an independently produced Forrester GRC evaluation, for which Vanta hosts an excerpt. [S02, S03, S05, S16]

## Underwriting edge cases

- **Enterprise penetration:** 16,000 customers is a strong breadth indicator, but not evidence of an enterprise ARR mix. The model needs segmentation by employee count, geography, ACV, pricing tier and industry.
- **Retention:** A Fortune article reported NRR above 100% based on sources knowledgeable about the business. Without audited cohorts or signed retention schedules, it is insufficient to claim a definitive percentage or infer economics by customer class. [S06]
- **Platform depth:** Cross-selling GRC, third-party risk and trust workflows may increase durability. It may also put Vanta into competition with larger integrated enterprise software incumbents with deeper procurement relationships.
- **Governance regulation:** New AI oversight creates a plausible demand tailwind, but compliance dates and standards adoption should be verified by specialist counsel rather than embedded as certain revenue.

## Vanta base operating model (not company guidance)

| Model input / derived output | Base value |
|---|---|
| 2027 ARR growth, then 5 ppt yearly step-down | 40%, 35%, 30%, 25%, 20% |
| 2026 ARR milestone | $300M |
| 2031 ending ARR | $1,105.7M |
| 2031 revenue proxy (95% of ARR) | $1,050.4M |
| 2031 modeled EBITDA proxy | $126.0M |
| 2031 modeled FCF proxy | $72.7M |
| 2031 FCF margin proxy | 6.9% |

### Priority disconfirming evidence

If 2026 ARR quality does not reconcile to billings or if cohort retention, enterprise conversion and cash gross margin deteriorate, the model's 40% initial growth and 8.0x terminal valuation cannot be maintained. A single attractive headline growth rate is not a sufficient defense of a $5B entry.

# 4. Chainguard | Commercial and technical diligence

## What is publicly established

Chainguard announced a $356M Series D at a $3.5B valuation and described reaching $40M ARR in April 2025. Sacra separately estimates $100M ARR by June 2026. Chainguard also announced $280M of growth financing from General Catalyst in October 2025. The financing announcement does not disclose a complete liabilities schedule, seniority, redemption mechanics, covenants or amounts currently outstanding. [S07, S08, S09]

## Technical value proposition

Chainguard seeks to monetize hardened open-source artifacts, image rebuilds, libraries, verified software provenance, vulnerability remediation and enterprise-grade service. Its customer case study describes Canva deployment of containers and libraries, a meaningful technical reference hypothesis that still requires verification beyond vendor-controlled marketing. [S10, S13, S15]

## The hard competitive challenge

Docker announced a broad free and open-source hardened-image offering on December 17, 2025, with commercial tiers for compliance and support. This does not prove Chainguard cannot differentiate, but it compresses willingness to pay for core image functionality and tests whether its library offering, security SLAs, breadth and developer integrations are truly premium products. [S11, S12]

## Chainguard base operating model (not company guidance)

| Model input / derived output | Base value |
|---|---|
| 2027 ARR growth, then 5 ppt yearly step-down | 60%, 55%, 50%, 45%, 40% |
| 2026 ARR estimate | $100M (Sacra) |
| 2031 ending ARR | $755.2M |
| 2031 revenue proxy (95% of ARR) | $717.4M |
| 2031 modeled EBITDA proxy | ($43.0M) |
| 2031 modeled FCF proxy | ($68.7M) |
| 2031 FCF margin proxy | (9.6%) |

### Specific investment implication

Under the base cost envelope, even a sevenfold-plus increase in ARR does not produce positive year-five FCF. The model uses a 9.0x ARR exit multiple despite that negative cash profile, making price, operating leverage and funding structure unusually consequential. This is a model warning, not evidence that Chainguard's actual business has negative margins.

# 5. Deal construction and downside protection

## Mechanics modeled

The assumed primary check is $100M, which increases the pre-money valuation to a post-money equity value before subsequent dilution. Primary initial ownership equals check divided by pre-money plus check; a secondary purchase at the same reference price does not add cash to the issuer and calculates ownership against the existing equity value. Future dilution of 15% (Vanta) and 20% (Chainguard) is explicitly assumed.

Scenario terminal equity value equals projected year-five ARR multiplied by scenario exit EV/ARR, less an assumed net-debt/senior-claim adjustment. These are scenarios, not management balance-sheet statements. The conversion of exit equity value into shareholder proceeds assumes the investor owns plain common equity with pro rata exit proceeds, no preferred rights, no anti-dilution rights and no liquidation waterfall. These simplifications are material in venture growth transactions.

## Scenario distribution | $100M primary check

| Case | Vanta MOIC | Vanta IRR | Chainguard MOIC | Chainguard IRR |
|---|---|---|---|---|
| Bear | 0.47x | (13.9%) | 0.18x | (28.9%) |
| Base | 1.47x | 8.1% | 1.29x | 5.2% |
| Bull | 3.52x | 28.6% | 2.95x | 24.2% |

The model uses 25% / 50% / 25% probabilities for bear, base and bull. Weighted gross proceeds total approximately $173.6M for Vanta and $142.8M for Chainguard. A five-year IRR applied to these probability-weighted proceeds is 11.7% and 7.4%. It is not an actuarial expected IRR and should not be confused with the mean of scenario IRRs.

## Capital structure diligence

Actual late-stage investments may include preferred stock, senior securities, participating preferences, negotiated anti-dilution, options and complex waterfall terms. Chainguard's $280M announced financing must not be mechanically subtracted from exit equity as if the announced capital amount were verified current net debt. The workbook instead applies transparent analyst-selected *exit* net-debt adjustments of $150M/$0M/($100M) for Vanta and $300M/$200M/$100M for Chainguard across bear/base/bull cases. Each assumption must be replaced before a real decision.

### Additional valuation disciplines

- Reconcile debt instruments, enterprise value and preferred equity to the correct fully diluted capitalization, with as-converted and liquidation waterfall outcomes.
- Review cash-burn financing needs, annual ownership dilution, possibility of follow-on investments and exit timing extending beyond five years.
- Use current, dated public and private comparables for triangulation only after the company business-model differences and market liquidity are controlled.

# 6. Reverse underwriting and decision thresholds

## Why the reverse-price calculation is central

A return model is most useful when it sets a limit rather than merely calculates an optimistic payoff. At a 20% gross annual target over five years, required gross MOIC is **2.49x**. The base-case maximum pre-money entry for a $100M primary check is the investor's assumed exit equity times remaining ownership fraction, divided by required MOIC, less the new $100M check. This is implemented as live Excel formulas in Returns and Valuation Matrix.

| Underwriting metric | Vanta | Chainguard |
|---|---|---|
| Illustrative modeled pre-money | $5,000M | $4,000M |
| Base exit equity | $8,845M | $6,596M |
| Assumed dilution | 15% | 20% |
| Maximum pre-money at target | $2,921M | $2,021M |
| Modeled price premium to limit | $2,079M | $1,979M |
| Entry discount needed | 41.6% | 49.5% |

### Interpretation and decision branch

A transaction at the full benchmark price would need substantially better growth, a higher durable exit multiple, less dilution, superior net cash, special contractual rights, or some combination. There is no basis to assume those improvements without documented evidence. Conversely, the current model does not show that either company should accept the lower entry valuation, or that a large secondary block exists.

## Where assumptions matter most

- **Starting ARR:** The model applies 2027 growth to the latest public 2026 ARR milestone. No 2026 full-year bridge is available, so the exercise understates or misstates the trajectory if ARR changes materially before investment.
- **Exit multiples:** Vanta 8.0x and Chainguard 9.0x are analyst-selected; neither comes from a verified current transaction comparable. They must be stress tested for a higher-rate or lower-liquidity regime.
- **Revenue proxy:** 95% of ending ARR is an illustrative recognition convention. It is not a substitute for recognized revenue, deferred revenue, contract modifications or international accounting.
- **FCF:** Operating costs are simplified percentage assumptions, not actual operating budgets; the FCF proxy excludes detailed SBC and treasury mechanics.

Material model limitation: 2031 exit value is based on ending ARR, not annual cash-generation valuation. For Chainguard, a high ARR multiple paired with negative modeled FCF is an explicit thesis challenge.

# 7. Diligence gates and execution plan

## Gate 1 | Financial data room

Obtain monthly ARR and recognized revenue from 2024 through latest available 2026, cohort NRR/GRR by vintage and enterprise tier, bookings and pipeline, gross margin bridge by product, commission capitalization, deferred revenue movements, cash-flow statement, detailed cash ledger and 24-month plan. Reconcile independently with auditors. No investment recommendation without clean denominator definitions.

## Gate 2 | Commercial and technical validation

Conduct at least 10 independent buyer/lost-customer interviews for each investment candidate and compare competitive win rates. Vanta: examine adoption of enterprise GRC and third-party risk, migration friction and auditor ecosystems. Chainguard: benchmark hardened image breadth, end-of-life support, libraries, vulnerability remediation SLAs, FIPS variants, reproducibility, cost to maintain and Docker replacement trials. Validate Canva as a third-party customer reference only with suitable permissions.

## Gate 3 | Security, governance and legal

Review incidents, penetration tests, third-party IP licensing exposure, regulatory claims, financial and compliance controls, privacy documentation, contractual liabilities, founder key-person risk and board processes. For Chainguard, obtain complete 2025 growth-financing documents and build the outstanding senior-claim schedule, not a shorthand from the announced headline.

## Gate 4 | Deal terms and valuation

Secure live, dated primary or secondary pricing, cap table by security class, pre-money/post-money conventions, full preferred waterfall, option refresh assumptions and all expected follow-on dilution. Normalize for liquidity, seniority, transaction fees and potential FX effects, then rerun all return scenarios and test downside protection.

## Gate 5 | Decision evidence

Before committee, specify a minimum factual evidence package, allowable valuation, key operating covenants, expected first-100-day value creation priorities and active monitoring metrics. Do not proceed if the seller price or terms cannot clear the approved investment return requirement after independent validation.

### Suggested monitoring scorecard

| Monthly / quarterly item | Decision-relevant use |
|---|---|
| ARR, GRR, NRR and churn by cohort | Separate new logos from real durable expansion |
| Cash burn, runway and committed facilities | Prevent hidden dependence on follow-on financing |
| Gross margin, sales efficiency and FCF bridge | Test operating leverage rather than revenue alone |
| Enterprise ACV and win/loss vs named rivals | Validate pricing power and wedge durability |
| Debt, prefs, option pool and ownership | Refresh risk of dilution and exit value leakage |
| Security incidents and trust disclosures | Track catastrophic franchise risk |

# 8. Sources, methodology and disclosures

## Primary methodology

Financial values use company disclosures where available, separately identified analyst assumptions for the future, and third-party Chainguard ARR estimates explicitly labeled as estimates. Cash flow, EBITDA, terminal valuations and IRRs are calculations, not confidential financial statements. The workbook uses Excel formulas throughout the forecast, transaction model, reverse valuation and quality checks.

## Key cited records (the workbook contains complete URLs and 18 records)


**S01 | Ontario Teachers / TVG official strategy** https://www.otpp.com/en-ca/investments/our-investments/teachers-venture-growth/

**S02 | Vanta Apr 2026 $300M ARR announcement** https://www.vanta.com/resources/vanta-crosses-300m-in-arr-as-growth-accelerates

**S03 | Vanta July 2025 Series D announcement** https://www.vanta.com/resources/vanta-announces-series-d

**S04 | Sacra April 2026 Vanta revenue research** https://sacra.com/research/vanta-at-300m-year/

**S05 | Vanta-hosted Forrester GRC Wave excerpt** https://www.vanta.com/reports/forrester-wave-grc

**S06 | Fortune April 2026 Vanta coverage** https://fortune.com/2026/04/29/exclusive-vanta-arr-300-million-sequoia-shadow-ai-claude-cursor/

**S07 | Chainguard Apr 2025 Series D** https://www.prnewswire.com/news-releases/chainguard-raises-356-million-in-series-d-funding-to-be-the-safe-source-for-all-open-source-302435220.html

**S08 | Sacra Chainguard ARR estimate** https://sacra.com/c/chainguard/

**S09 | Chainguard Oct 2025 financing** https://www.prnewswire.com/news-releases/chainguard-announces-280-million-growth-financing-from-general-catalyst-to-usher-in-next-era-of-trusted-open-source-software-302592279.html

**S10 | Chainguard Canva customer case** https://www.chainguard.dev/customers/canva-trusts-chainguard-to-eliminate-supply-chain-risk-for-its-platform-serving-260-million-monthly-users

**S11 | Docker Dec 2025 free hardened images** https://www.docker.com/press-release/docker-makes-hardened-images-free-open-and-transparent-for-everyone/

**S12 | Docker Hardened Images documentation** https://docs.docker.com/dhi/

**S13 | Chainguard official pricing** https://www.chainguard.dev/pricing


**Critical disclosures:** No company data rooms, conversations with management, proprietary underwriting, live bid/ask quotes, preferred security terms, auditor verification or actual cash balances were obtained. This is an independent work sample, not endorsed by, or produced for, Ontario Teachers', Vanta or Chainguard.

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